

Project Moat

AI Fundamental Equity Research Analyst — MVP PRD

Status: Draft for review | Date: 10 August 2026 | Scope: Personal research tool | Initial universe: US + UK listed equities

Product vision

Build an AI-assisted equity research system based on Buffett/Graham-style fundamental investing principles. It continuously screens listed companies for high-quality businesses, durable competitive advantages, strong financials and attractive valuations, then produces concise, evidence-based investment briefs for human review.

MVP objective

Identify financially exceptional businesses trading at potentially attractive valuations and produce a defensible investment thesis including bull case, bear case and intrinsic-value ranges.

1. Product principles

- Business before stock — analyse the underlying company.
- Quality before valuation — avoid simply finding statistically cheap businesses.
- Margin of safety — valuation must allow for analytical error.
- Evidence over AI opinion — conclusions should trace to financial data and filings.
- Conservative assumptions — intrinsic value is a range, not false precision.
- Challenge every thesis — every candidate receives a bear-case analysis.

2. MVP market universe

In scope: S&P; 500, NASDAQ 100 and FTSE 350. Out of scope initially: small caps, ETFs, private companies and markets outside the US/UK. The aim is to keep the data problem manageable while testing the workflow.

3. Core MVP workflow

Market data → deterministic financial screen → quality score → AI business analysis → bull/bear analysis → valuation engine → margin of safety → investment rank → human review.

4. Quantitative screening

Metric	Initial criterion
ROIC	>15%
ROE	>15%
Free cash flow	Positive; preferably 5–10 year history
Revenue / EPS growth	Positive trend
Operating margin	>15%
Debt	Sensible relative to cash flow
Share dilution	Low
Gross margin	Stable or improving

5. AI business analysis

Business quality: business model, revenue characteristics, recurring revenue, pricing power, customer concentration and capital intensity.

Competitive moat: network effects, brand, switching costs, cost advantage, scale, regulation, IP/data advantage.

Management: capital allocation, acquisitions, buybacks, dividends, incentives and communication quality.

Risks: competition, regulation, disruption, cyclicalities, leverage and customer concentration.

6. Valuation engine

Primary method: DCF / Owner Earnings. Supporting methods: FCF yield, EV/EBIT, P/E and historical valuation ranges. Output should show bear/base/bull scenarios, key assumptions, intrinsic-value range, current price and margin of safety.

7. Investment Committee

Three perspectives: **Quality Analyst** — is this an exceptional business? **Bear Analyst** — why could the thesis be wrong? **Valuation Analyst** — are we paying a sensible price? A consolidated assessment produces the final research ranking.

8. MVP investment score

Component	Weight
Business quality	25%
Competitive moat	20%
Financial strength	15%
Management / capital allocation	10%
Valuation	25%
Risk	5%

9. Primary MVP experience

A ranked dashboard showing Company, Quality, Moat, Valuation, Overall Score and Status (Investigate / Watch / Reject). Clicking a company opens a one-page Investment Brief.

10. Investment Brief

Company overview; investment thesis; moat evidence; financial quality; valuation range; margin of safety; bull case; bear case; key things to monitor; AI conclusion. The AI must explain its conclusion rather than simply provide a score.

11. Monitoring

MVP watchlist alerts: candidate enters top rankings; price crosses valuation threshold; earnings materially change thesis; major management change; material financial deterioration. A daily or weekly briefing is sufficient initially.

12. Explicitly out of MVP

Automated trading, broker integration, portfolio optimisation, technical analysis, options analysis, macro trading signals, social-media sentiment, cryptocurrency, mobile app, complex autonomous multi-agent infrastructure and large numbers of paid data sources.

13. MVP success criteria

Screen roughly 850 US/UK companies; reduce to ~50–100 quality candidates; produce automated research briefs for the top ~10–20; refresh financial data automatically; calculate valuations without manual spreadsheet work; and, most importantly, produce research that is genuinely useful enough to replace a significant portion of manual initial analysis.

14. Guiding product decision

Build a deterministic fundamental screener + AI research analyst + transparent valuation engine. The numbers determine which companies deserve attention; AI explains the business and challenges the thesis; the valuation engine determines what price may be attractive; the human remains the investment committee.

15. MVP roadmap

Sprint 1: data foundation and company universe.

Sprint 2: quantitative screener and ranking dashboard.

Sprint 3: AI research, moat and management analysis.

Sprint 4: DCF / Owner Earnings and scenario valuation.

Sprint 5: investment committee and research briefs.

Sprint 6: watchlist and monitoring.